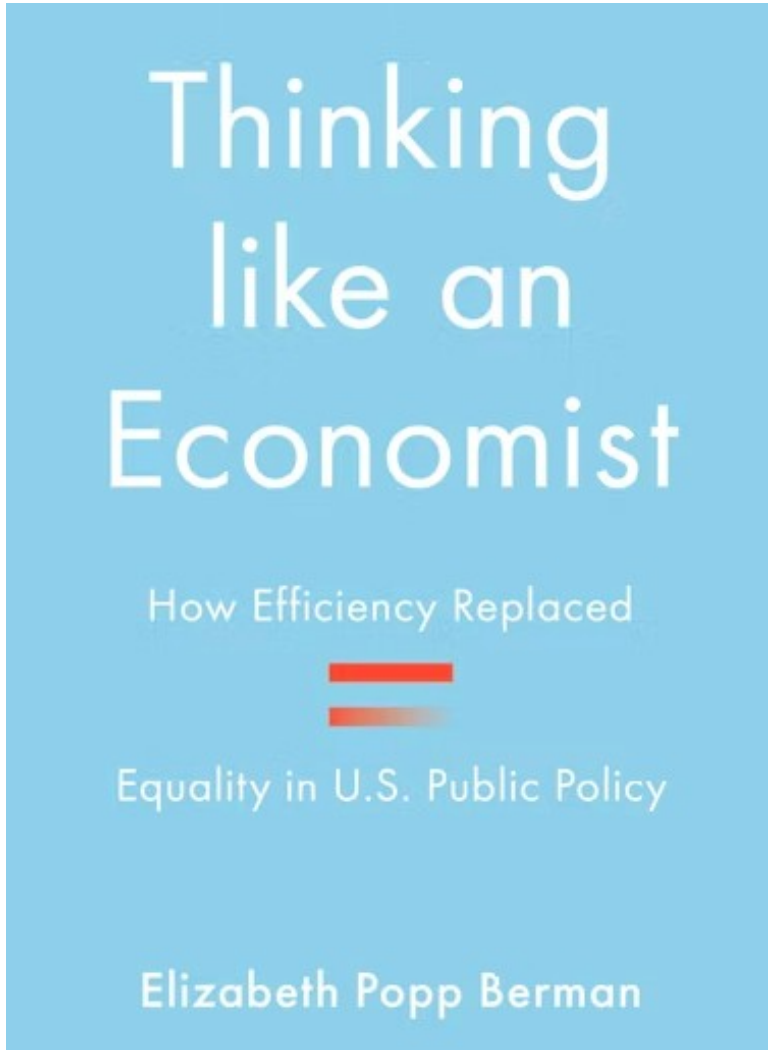
The Culture of Business, Finance and the Economy

Class 8 – 31 march

Dr. Juan M. del Nido

First semester 2026

Today
Thinking Like an Economist



Recap

Economists are keen to intervene in absolutely everything else

Economists think (almost only) through models

Economics is the most influential social science

ELSEVIER

European Geriatric Medicine

Volume 5, Issue 1, February 2014, Pages 39-42

Controversies in geriatric medicine

Too old, too expensive? The impact of health costs on senior citizens in Switzerland

M. Coutaz

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The NEW ENGLAND JOURNAL of MEDICINE

SPECIAL ARTICLE

What Are the Potential Cost Savings from Legalizing Physician-Assisted Suicide?

Authors: Ezekiel J. Emanuel, M.D., Ph.D., and Margaret P. Battin, Ph.D. Author Info & Affiliations

Published July 16, 1998 | N Engl J Med 1998;339:167-172 | DOI: 10.1056/NEJM199807163390306 | VOL. 339 NO. 3

Value in Health ISPOR

ABSTRACT ONLY · Volume 19, Issue 3, PA45, May 2016 · *Open Archive*

Impact of a Limb Salvage Program on the Economic Burden of Amputation in The United States

S Palli [1] · C Gunnarsson [1] · H Kotlarz [2] · BJ Martinsen [2] · R Zhao [3] · JA Rizzo [4]

Affiliations & Notes Article Info

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Todd Litman
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Cost and Benefit Analysis of Romantic and Casual Sexual Relationships: A Prediction

Alamsyah, Annissyah A. Alliant International University ProQuest Dissertations & Theses, 2022. 29326365.

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COST BENEFIT ANALYSIS OF ROMANTIC VS. CASUAL SEXUAL

RELATIONSHIPS: A PREDICTION

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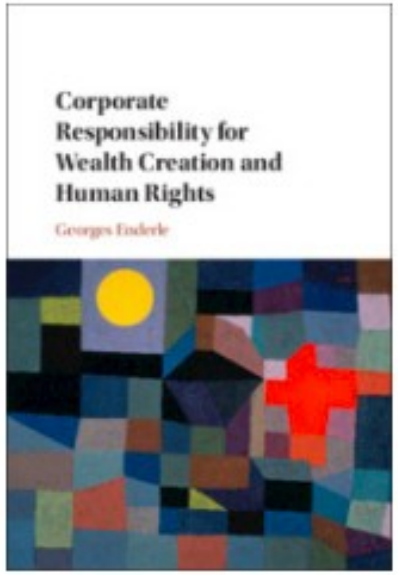

Corporate Responsibility for Wealth Creation and Human Rights

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Book contents

Reviews

Corporate Responsibility for

13 - Cost-Benefit Considerations about Human Rights as Goals, Means and Constraints

from Part II - Human Rights as Public Goods in Wealth Creation

Published online by Cambridge University Press: **11 January 2021**

Georges Enderle

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Summary

While there is a vast literature in economics on cost-benefit analysis (CBA), caution is appropriate when applying it and making the business case for human rights. Sen distinguishes two broad kinds of CBA: (1) The general approach to CBA includes explicit valuation, broadly consequential evaluation and additive accounting and is supported by a wide consensus. (2) Additional requirements of CBA are structural demands, evaluative

ALBERTA LAW REVIEW
Established 1955

Calculations of Conscience: The Costs and Benefits of Religious and Conscientious Freedom

Howard Kislowicz

Richard Haigh

Adrienne Ng

PDF

ISSUE

Vol 48, No 3

A Cost/Benefit Analysis of Religion's Effects in Society

RESOURCE

November 30, 2023

The Case for Legal Organ Sales

Written By Julia Behan

The shortage of organs poses the great threat of preventable deaths. This is not just an issue in the UK but worldwide. An immediate solution? Legalise the sale of organs.

Valuation of Natural Resources and Ecosystem Services: Economic Methods

Authors:
James Boyd, SESYNC, Resources for the Future

Date:
March 02, 2022

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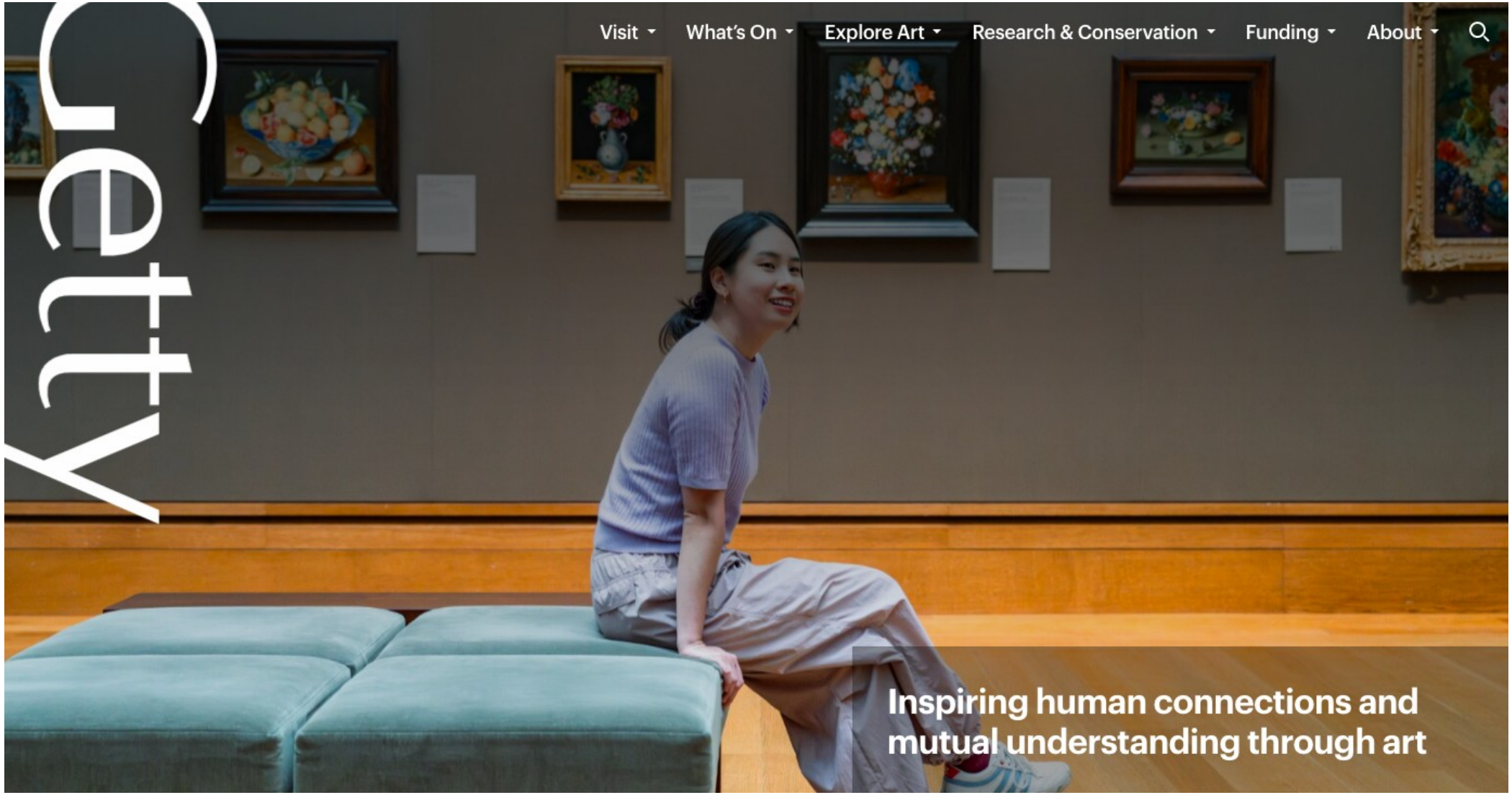
RESOURCE: EXPLAINER

Description:

Legalising the sale of organs will increase the supply of organs. This means shorter waiting lists for those waiting for donations. It means that more people will be able to receive life saving transplants. If you allow a private organs market to coexist with a system of donations, it also means that those least able to afford it will have greater access to organ donations, as the more wealthy pay for the luxury of a not having to wait for a state sourced organ. A private market will mean new sources of supply as those who do not currently donate for altruistic reasons are encouraged by the profit motive. The majority of those who have currently opted to donate their organs will likely continue to do so regardless of the possibility of financial rewards. This will result in organs donated in an altruistic manner reaching more of the most vulnerable in society.

A private market for organ sale may even lead to a decrease in organ trafficking. As with any market, an increase in supply (caused by the legalisation of organ sales) will force the market price down. This phenomenon has been seen in Iran. Iran allows the sale of kidneys; its higher supply of kidneys has kept prices <u>relatively low</u>.

The Arts: Getty



Our Mission

Getty is a leading global arts organization committed to exhibiting, conserving, and understanding the world's artistic and cultural heritage.

Based in Los Angeles, Getty pursues its work with partners around the world, while sharing art, knowledge, and resources with the public online, and in-person at the Getty Center and Getty Villa.

Getty: Valuing Cultural Heritage

If something is a must-do, then we are looking at cost-effectiveness. If you are fixing the Sphinx it fits in this category. All other cases tend to be about cost-benefits: you need to estimate the costs, direct and indirect, and the benefits, tangible and intangible. And then you have to have a discount rate, because money in the future is not worth the same as it is right now. And the formula for net present value is simply the discounted benefit stream minus the discounted cost stream. And that is the net present value for a project that is worth doing or not worth doing.

Estimating cost-benefits is fairly straightforward. But benefits include tourism revenues but cannot be limited to tourism revenues, because if you do that, then you miss the intrinsic value of heritage. So how do we calculate it? There is a total economic value, and there are use values and non–use values. And there are direct use values and indirect use values; and among the non–use values, there are existence values and others, bequest values, for example. And in between the two, there is a third category, which economists are very good at, which is option values. It is to say, what do I need to invest now in order to maintain my options for the future?

These calculations include things like, for example, in historic cities, built space, circulation space, tourism, economic activity (...) also community image, environmental quality, social interaction, aesthetics, and, of course, options to maintain your options for the future. And then there is existence value: identity, uniqueness, significance of the event or the piece of heritage or artifact itself.

Values, cost, benefits, pricing, assets, bottom lines…

… the ever-expanding jurisdiction of economic reasoning.

How did it start?

1960-1990

a new way of thinking about policy:

the “economic style of reasoning”

The high value that economic reasoning places on efficiency, incentives, choice, and competition frequently conflicts with competing political claims grounded in values of rights, universalism, equity, fairness, transparency and so on. As the influence of economic reasoning became more durable, it became harder for those competing values to gain purchase.

Case study: environmental laws in the USA

WHAT'S THE SCORE?
DUST-60
Sulphur Diox.-43
AIR POLLUTION KILLS
BREATHING IS DANGEROUS TO YOUR HEALTH

SAVE OUR CITIES
UNITED STATES · SIX CENTS
SAVE OUR SOIL
UNITED STATES · SIX CENTS
SAVE OUR AIR
UNITED STATES · SIX CENTS
SAVE OUR WATER
UNITED STATES · SIX CENTS

The 1970s

The Clean Air Act (1970), The Clean Water Act (1972) passed with broad support

strong, inflexible rules requiring strict standards, limiting air pollution to levels that would provide “an ample margin of safety to protect the public health.”

They were very effective.

…but economists disagreed.

These rigid limits on how much pollution firms could emit and requirements that they adopt particular mitigating technologies created problems of their own. They did not distinguish between changes that were inexpensive for firms to make and those that were very costly. They also failed to acknowledge that the more pollution was reduced, the more expensive further reductions would likely be. And they did not account for the fact that, while pollution itself was unwanted, it generally accompanied some otherwise desirable activity, and limiting it would have costs.

From an economic perspective, pollution was an externality: a market failure to be solved with more markets.

Pricing pollution so that consumers of polluting products would bear their full cost.

Economists were ignored: the idea of pollution taxes struck people as morally objectionable—“a purchased license to pollute.” Organisms depend on one another in complex, unpredictable ways; these ideas did not translate easily into economic equivalents, or worse, quantifiable “caps”. These arguments work on the basis that some things cannot and should not be calculated.

Congress revisited the Clean Air Act two decades later: by 1990, economic reasoning ruled

Congress’s new solution drew on it:

(pollution) would be cut by “design[ing] mechanisms . . . which take advantage of the forces of the marketplace in our economy” to protect the environment in “economically efficient” ways. The Acid Rain Program proposed the first national cap-and-trade program in the United States. Rather than requiring power plants to install “scrubbers” that would remove pollutants, it limited how much of the pollutant they could emit and gave producers credits for reductions they made beyond that requirement. Companies could then sell these credits to other companies for whom reducing emissions was more expensive. Economists argued this would be <u>more efficient</u> than simply requiring all plants to limit their emissions by the same amount.

This program led to 94 percent reduction in some pollutants.

Both laws were serious attempts to ameliorate environmental problems. Both were successful at achieving meaningful pollution reductions. But the differences between the two laws represent a transformation in how we think about the world around us and our interventions in it.

Environmental policy turned away from a moral framework that stigmatized polluters and toward the position that pollution was simply an externality to be priced – that needs a number on it. Instead of identifying acceptable levels of pollution, the policies began focusing on the most efficient means to achieve targets. Instead of promoting technologies of pollution reduction, it pushed technologies of market design. This was seen as a better, “more rational” strategy.

Economic reasoning works in terms of priceable relations so everything can be incorporated into cost-benefit calculations. This means, they effectively calculated that which, in the previous approach, could not be calculated – it was unspeakable (Faustian deal).

Feature 1

Economic thinking sees markets as efficient allocators of resources; it knows markets are imperfect, market failures exist and deregulation is not always the answer: it sees government's role as creating the legal framework that will facilitate well-functioning markets and correct for any market failures (market failures need more markets – legitimacy and employment loop for them).

It also tends to view policy through this lens, introducing market-like elements and styles of reasoning, like choice and competition, into areas, such as education or healthcare, that were not thought of primarily or solely as markets.

Feature 2

The economic style values mostly <u>efficiency</u> as the measure of good policy. Once an objective has been chosen, good policy is the most cost-effective means to reach that objective. Policy goals themselves can also be evaluated through the lens of efficiency: an appropriate level of regulation, for example, is the one that will maximize net benefits to society (assuming this can be calculated). Efficiency appears as a politically neutral value: who would be against it?

Centering efficiency often means displacing other values, or ignoring the political side of defining what counts as "efficiency" (example).

Example Black Americans for environmental justice

When they organized in the 1980s to demand justice in response to the pollution of their communities, they drew on the language of civil rights, asserting “the right to participate [in environmental governance] as equal partners.”

Yet when the government responded, it did so by turning demands for equality into an economic calculation of “the relative risk burden borne by low-income and racial minority communities.”

(risk can be bought, traded, and compensated for economically)

Example 3: Soy in the Pampas

Why do we care?

First

Because its main appeal is that, through efficiency and markets, it appears to be beyond “the political” (It’s the economy, stupid!)

In other words

Its political power derives precisely from the fact that it appears to us as beyond the political and impossible to argue with

Arguments based on ‘number, weight, and measure’ compel assent as surely as mathematics does

Second

Because the scope of intervention for these experts never ends: market failures demand more market interventions, more experts like you to design them, more job opportunities, greater and growing salaries, etc.

Third

Because these interventions need <u>numbers.</u>

… next class ;-)